

subject to the Agreement, has been aware that the parties are required to first submit to mediation, and has yet moved to compel this action to arbitration. Based on the language of the Agreement, the Court finds that mediation is a condition precedent that must be completed before the matter can be ordered to arbitration. If mediation is unsuccessful, *then* the dispute between the parties can be sent to arbitration. There is no evidence that either party requested mediation or declined prior to filing this motion. Zhang, as the moving party, has not fulfilled the mediation condition precedent contained in the Agreement. For this reason, the motion to compel arbitration is DENIED without prejudice to being refiled after the parties have fulfilled the mediation requirement in the Agreement. Accordingly, the motion is premature, and the matter cannot be submitted to arbitration at this time.

IV. CONCLUSION

Based on the foregoing, the motion to compel is DENIED without prejudice.
The Court will prepare the formal Order.

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9:01 A.M.

Calendar Lines # 1
Case Name Oswald Campesato vs Jiahua Huang et al
Case No. 21CV391687

Order Determining Claim of Exemption

I. BACKGROUND

A. BRIEF FACTUAL BACKGROUND

This case arises from a wrongful eviction action by tenant/Plaintiff Oswald Capesato (“Plaintiff Capesato”) against landlord/Defendants Jiahua Huang and Jane Huang. Plaintiff Capesato filed a Complaint against the Defendants on November 24, 2021, which included nine causes of actions, including allegations of wrongful evidence, nuisance, negligence, and sexual harassment. (Compliant). Defendants filed a cross-complaint for damages and defamation against the plaintiff. (Cross-Compliant and Amended Cross-Complaint).

On or around February 27, 2024, a default judgment was entered against the defendants and in favor of the plaintiff in the amount of \$458,875.03. On August 20, 2024, the Honorable Eric Geffon set aside the defaults.

In September 2025, parties engaged in a Mandatory settlement conferred and executed a bidding written settlement agreement disposing of all claims. On October 22, 2025, a stipulation for an entry of judgment was filed in the amount of \$50,000.00 and attorney’s fees and sanctions in favor of the plaintiff and against the Defendants. (Declaration of Liddicoat; Exhibit C).

B. RELEVANT PROCEDURAL BACKGROUND

An abstract of Judgment was recorded on January 12, 2026, which created a judgment lien against the real property, a residence located at 10197 Finch Avenue, Cupertino, California, 95014. (“Subject Property”) (Plaintiff’s Opposition, p. 2). The Subject Property is described as a single family residence with five bedrooms and two bathrooms. Plaintiff asserts that the judgment debtors/defendants are the owners of the Subject Property. (*Id.*).

On February 17, 2026, the plaintiff filed a writ of execution of the money judgment by sale of real property, the residence located at 10197 Finch Avenue, Cupertino, California, 95014. On or around May 11, 2026, the Santa Clara County Sheriff’s levied upon the Subject Property. (Declaration of Liddicoat; Exhibit D).

The Defendants filed a claim of exemption on May 29, 2025 (the document was signed May 11, 2025). No proof of service was attached. However, the Court notes that the Defendant filed opposition briefs on May 21, 2026 and thereafter. Defendant asserts that the property does not belong to her and that she is only a fiduciary or trustee without any property interest. (Defendants Claim of Exemption, p. 1-2). No statements were submitted under oath. No financial statement was provided by Defendants.

The plaintiff repudiates the defendants assertion and asserts that the Subject Property is owned by the defendants. (Plaintiff's Opposition, p. 2). Plaintiff obtained a litigation guaranty from First American Title Company reflecting that the property is owned by the Judgment Debtors/Defendants. (Declaration of Liddicoat; Exhibit A). Plaintiff asserts that after litigation commenced, Defendants attempted to transfer the title into a non-existent GG Trust. (Plaintiff's Opposition, p. 24). Further, plaintiff counsel points to the May 2, 2025 deposition of Defendant Jane Wang who admitted under oath during a pretrial deposition that the defendants owned the Subject Property. (Declaration of Liddicoat; Exhibit B).

Plaintiff asserts that the fair market value of the Subject Property is approximately \$3,000,000.00. (Declaration of William Strohmeier; Declaration of Liddicoat; Exhibit F). Plaintiff asserts that there appears to be no consensual liens or deeds of trust. (*Id.*).

Plaintiff asserts that even assuming full homestead exemption applies, based on the evaluation of the home, substantial nonexempt equity exists to sufficiently satisfy the judgment and cost of sale. (Plaintiff's Opposition, p. 5-6). Plaintiff avers that based on the \$3,000,000.00 assessment of the Subject Property, the statewide maximum for a homestead exemption would amount to \$746,640.00. Thus, Plaintiff seeks to have the claim of exemption denied or limited and allow the levy to proceed.

On June 5, 2026, Defendants filed a response disputing the \$3,000,000.00 assessment of the Subject Property as significantly overstated. (Defendants Response, p. 1). Defendants assert that her involvement in the Subject Property is limited to a trustee capacity and that any ownership interest attributed to the defendants would be substantially less than the amount claimed. (*Id.*).

II. LEGAL STANDARD

Under Code of Civil Procedure section 695.010, subdivision (a), except as otherwise provided by law, all property of the judgment debtor is subject to enforcement of a money judgment. After entry of a money judgment other than those arising from the Family Code (subject to additional requirements), and upon application of the judgment creditor, the clerk of the court shall issue a writ of execution, which must be directed to the levying officer in the county where the levy is to be made and to any registered process server. (Code Civ. Proc., § 699.510).

Code of Civil Procedure section 703.510 provides that property that has been levied upon may be claimed to be exempt as provided in Code of Civil Procedure sections 703.510 to 703.610 unless otherwise provided by statute. (Code Civ. Proc., § 703.510, subd. (a); see Code Civ. Proc., §§ 703.510-703.610 [Enforcement of Money Judgments, Exemptions, Procedure for Claiming Exemptions After Levy]). The debtor must make the claim within 15 days of the date the notice of levy on the property was served (20 days if the notice of levy was served by mail). (Code Civ. Proc., § 703.520, subd. (a)).

The claim must be executed under oath and include the name and mailing address of the claimant, a description of the property claimed to be exempt, a financial statement as required by section 703.530, a citation of the statute on which the claim is based, and a statement of facts necessary to support the claim. (Code Civ. Proc., § 703.520, subd. (b).) A financial statement is required where property is claimed as exempt pursuant to a provision exempting

property to the extent necessary for the support of the judgment debtor and the spouse and dependents of the judgment debtor. (Code Civ. Proc., § 703.530, subd. (a).) The financial statement must be executed under oath by the judgment debtor and the debtor's spouse unless the same are living separate and apart, and must include:

- (1) The name of the spouse of the judgment debtor;
- (2) The name, age, and relationship of all persons dependent upon the judgment debtor or the spouse of the judgment debtor for support;
- (3) All sources and the amounts of earnings and other income of the judgment debtor and the spouse and dependents of the judgment debtor;
- (4) A list of the assets of the judgment debtor and the spouse and dependents of the judgment debtor and the value of such assets; and
- (5) All outstanding obligations of the judgment debtor and the spouse and dependents of the judgment debtor. (Code Civ. Proc., § 703.530, subds. (b)(1)-(5), (c)).

Section 703.570(a) provides that the hearing on the motion shall be held not later than 30 days from the date the notice of motion was filed with the court unless continued by the court for good cause. The claim of exemption is deemed controverted by the notice of opposition to the claim of exemption and both shall be received in evidence. (Code Civ. Proc., § 703.580, subd. (c)). If no other evidence is offered, the court, if satisfied that sufficient facts are shown by the claim of exemption (including the financial statement if one is required) and the notice of opposition, may make its determination thereon. (Code Civ. Proc., § 703.580, subd. (c).) If not satisfied, the court shall order the hearing continued for the production of other evidence, oral or documentary. (Code Civ. Proc., § 703.580, subd. (c)). Section 703.580(b) provides that the claimant has the burden of proof at the hearing.

Code of Civil Procedure section 704.780 sets forth the procedures for evaluation an application for order of sale of a dwelling. "The court shall determine whether the dwelling is exempt. If the court determines that the dwelling is exempt, the court shall determine the amount of the homestead exemption and the fair market value of the dwelling. The court shall make an order for sale of the dwelling subject to the homestead exemption, unless the court determines that the sale of the dwelling would not be likely to produce a bid sufficient to satisfy any part of the amount due on the judgment pursuant to Section 704.800." (Code Civ. Proc. § 704.780, subd. (b)).

"Homestead" means the principal dwelling (1) in which the judgment debtor or the judgment debtor's spouse resided on the date the judgment creditor's lien attached to the dwelling, and (2) in which the judgment debtor or the judgment debtor's spouse resided continuously thereafter until the date of the court determination that the dwelling is a homestead. (Code Civ. Proc. § 704.710, subd. (c).) "A homestead is exempt from sale under this division to the extent provided in Section 704.800." (Code Civ. Proc. § 704.720, subd. (a)).

Under Code of Civil Procedure § 704.780, where the records of the county tax assessor indicate that there is not a current homeowner's exemption for the dwelling, "the burden of proof that the dwelling is a homestead is on the one who claims that the dwelling is a homestead." (Code Civ. Proc. § 704.780, subd. (a)(1)).

III. ANALYSIS

Here, Plaintiff's counsel states that a guaranty from First American Title Company show that the property is owned by the Judgment Debtors/Defendants. (Declaration of Liddicoat; Exhibit A). The court notes that no records from the Santa Clara County recorder show a homestead declaration has been recorded with the tax [with the tax](#) assessor. Defendants have presented no evidence that a homestead declaration has been recorded. Defendants bear the burden of showing that homestead applies. However, it is unopposed that Defendant Jane Wang resided at the Subject Property and with her child, which presents some evidence that the Subject Property was and is her primary residence. However, in Plaintiff's response she simply states that "[t]he property serves as a residence and the loss of the property would create severe hardship." (Plaintiff's Response, p. 2).

As to the evaluation of the property, the plaintiff proffers opinion from William Strohmeyer, a veteran real-estate agent in Santa Clara County, who evaluated the fair market value of the Subject Property at \$3,000,000.00. (Declaration of William Strohmeyer; Declaration of Liddicoat; Exhibit F). Plaintiff provides that a Zillow estimate evaluates the Subject Property at \$3,367,00.00. Plaintiff's counsel that there appears to be no consensual liens or deeds of trust. (*Id.*). Thus, per Plaintiff's counsel, a homestead exemption would be capped at \$746,640.00. Plaintiff's counsel asserts that the sale of the subject property, even with homestead, would provide more than enough revenue to fulfill the \$50,000.00 judgment.

Defendants reject this assessment as inflated and asserts that "[t]he most recent estimates available to be were less than half of the amount and did not account for party's condition, deferred maintenance, roof leaks, repair costs, private loans, and other factors affecting market value." (Defendants Response, p. 1). Again, no business record of the assessment or evaluation to refute the plaintiff's assessment of the Subject Property was produced. Defendants do not provide a breakdown or proof of any current liens on the Subject Property by identifying the loan holder and amounts due. Defendants assert that the loss of property would result in severe hardship. (*Id.*). Defendants also refutes the underlying claim, which this Court does not have jurisdiction to revisit.

Given the current presentation, the court finds the defendants have not met its burden of showing of exemption. Even if a homestead exemption was allotted, the defendants have not provided evidence that sale of the Subject Property would not likely produce a bid sufficient to satisfy any part of the amount due on the judgment under Code of Civil Procedure section 704.780. The homestead exemption is calculated based on the assessed value less exemptions multiplied by the tax rate plus fixed charges.

IV. CONCLUSION

Based on the foregoing, the Order for Claim of Exemption is limited to \$746,640.00 and the plaintiff is allowed to proceed with the levy. This matter is set for a hearing on the sale of the Subject Property on July 7, 2026 at 9:00 a.m. in Department 1. The Court will provide the Order.